

Q1 FY2025 Disney

<https://www.fool.com/earnings/call-transcripts/2025/02/05/walt-disney-dis-q1-2025-earnings-call-transcript/>

Sentiment score: +0.4

Decision: HOLD

Reasoning: Strong Q1 on almost every metric like studio, parks, streaming profitability BUT the guidance implies a sharp deceleration in earnings growth for the remaining three quarters. Johnston specifically declined to raise full-year guidance despite the Q1 beat, citing "rapidly evolving macro environment." Streaming subscribers flat through Q2. The strong headline numbers mask a cautious forward outlook.

Top quotes:

- A) "We certainly feel good about the fact that we were able to power through with stronger performance than our expectations were for Q1."
- B) "Given the rapidly evolving macro environment, we think it would be premature at this point to change the guidance."
- C) "Our expectation is to grow them [subscribers] for the year" but flat in Q1 and Q2, growth deferred to back half.

Risks flagged: Earnings growth decelerating sharply from Q1's 40%+ to high single digits for the year; subscriber growth flat near-term; NBA rights cost step-up looming in FY2026; macro uncertainty flagged by CFO.

Time taken to read and decide: 1 hour

What the stock actually did overnight:

- Ground truth: 5 Feb open \$115.70 → 5 Feb close \$110.54 = -4.5% (pre-market release, same-day move)
- **Result:** Correct; HOLD was right, stock dropped significantly on the day 5.

Q3 FY2025 Disney

https://s206.q4cdn.com/979796730/files/doc_events/2025/08/q3-fy25-earnings-transcript.pdf

Sentiment score: +0.5

Decision: BUY

Top quotes that influenced my call:

A) "Walt Disney World just had a record Q3 revenue number as we emerged from last quarter."

B) "For \$29.99, you can get Disney+, Hulu and ESPN, which is an incredible, incredible bargain for the consumer."

C) "We certainly don't intend to stop at 10% margin. We think there's still lots of margin opportunity once we hit double digits."

Summary: Major strategic announcements dominate, ESPN DTC launches August 21st, NFL Network acquisition (10% equity stake to NFL, accretive in year one), full Hulu/Disney+ integration announced, WWE exclusive deal. Parks performing strongly with record Walt Disney World Q3 revenue and per caps up 8% YoY. DTC at 6% operating margin with explicit commitment to go beyond 10% target. Cruise ships almost half-booked for next year already. Full-year EPS guidance of \$5.85 maintained.

Risks flagged:

- CFO defers ALL FY2026 questions to Q4 call; signals limited forward visibility
- Q4 content faces tough comp overlapping Inside Out 2
- China parks showing per cap pressure from consumer stress
- Two new cruise ships launching bring pre-opening cost headwind in early FY2026
- NFL deal doesn't close until end of calendar 2026 so benefits are distant

Time taken to read and decide: 45 mins

What the stock actually did overnight:

- Ground truth: 5 Aug close \$118.32 → 6 Aug open \$115.78 = -2.1% gap down; 6 Aug close \$115.17 = -2.7% from prior close
- **Result:** Incorrect; BUY call, stock fell on announcement-heavy quarter with limited hard numbers

Reflection : The transcript was unusually light on actual Q3 financial figures and heavy on forward strategic announcements. When results calls lead with strategy over numbers, the market often reacts negatively regardless of the excitement of the announcements. Johnston's repeated deferral of FY2026 guidance may have amplified concern about near-term cost headwinds. This suggests a new rule worth adding to the prompt: transcripts that are announcement-heavy relative to results-heavy should trigger a more cautious signal, even when the announcements are genuinely positive.

Q4 FY2025 Disney

https://s206.q4cdn.com/979796730/files/doc_events/2025/11/q4-fy25-earnings-transcript.pdf

Sentiment score: +0.6

Decision: BUY

Top quotes that influenced my call:

A) "For fiscal 2026, we expect to deliver double digit adjusted EPS growth compared to the prior year."

B) "We are targeting \$7 billion in share repurchases in 2026 — double the \$3.5 billion we repurchased in fiscal 2025."

C) "About 80% of all the subscribers to the new ESPN service are actually buying the Trio or the triple bundle — that's a very positive sign for us in terms of lowering churn into the future."

Summary: Full-year adjusted EPS up 19%, 19% CAGR over three years. DTC full-year operating income \$1.3 billion — \$300M ahead of original guidance, swung from a \$4 billion loss three years ago. Experiences record Q4 and full-year operating income, up 8% for the year. ESPN DTC launched successfully with high adoption of Trio Bundle.

FY2026 guidance: double-digit EPS growth, \$7 billion buybacks, 50% dividend increase. Parks bookings up 3% for Q1 and positive for full year. Strong film slate ahead.

Risks flagged:

- YouTube TV carriage dispute live and unresolved; channels currently blacked out, guidance includes a hedge for prolonged disruption
- NBA rights cost creates earnings bumpiness w Sports growth back-half weighted in FY2026
- New cruise ship pre-opening costs weigh on H1 FY2026 Experiences
- Q1 FY2026 studio softer due to timing of Avatar release at quarter end
- Domestic park attendance facing Epic Universe competition in Florida
- 53rd week adds complexity to FY2026/27 EPS comparison

Time taken to read and decide: 1 hour

What the stock actually did overnight:

Ground truth calculation

- 12 Nov close (prior day): \$116.65
- 13 Nov open: \$108.89
- **Move: -6.6% gap down at open**
- 13 Nov close: \$107.61 continued sliding, total **-7.7% from prior close**

Result: Incorrect. BUY call was **wrong**

